

# NEW OWN RESOURCES

FOR A STRONGER EUROPEAN UNION

**GLOBAL  
CITIZEN**



Global Redistribution Advocates

# 637

bn EUR borrowed  
the European Union.

The EU responded collectively to the COVID-19 crisis and its aftermath through the NextGenerationEU plan. By raising funds jointly, Member States made it possible to secure advantageous borrowing terms. Working together paved the way for a common European response, strengthening the resilience and unity of

Debt service will begin in 2028. The question of how this debt will be repaid will be at the heart of negotiations on the next Multiannual Financial Framework (2028-2034). These two milestones create a critical political window in which the commitment to European cooperation is to be reaffirmed. The European Commission proposed five new own resources in its ORD proposal. The European Parliament proposed five others and has set a minimum threshold of 60 bn per year, making its approval of the MFF conditional on this threshold being met.

# 2028

Start of servicing

## 6 Ideas

for New Own Resources

We contribute to the forthcoming discussion by presenting additional new sources of revenue for the EU budget. Drawing on diverse and complementary sources, these instruments are designed to generate substantial

revenues while distributing the fiscal contribution more equitably across Member States. Contrary to most proposals, they generate new revenue for the EU budget rather than merely redirecting existing revenue streams. Taking all legal and administrative requirements into account, they are designed to fit within the 2028-34 MFF timeframe. The six new Own Resources we propose make the wealthiest contribute, tax documented harms, and correct existing imbalances, thereby contributing to a fairer and more effective European fiscal framework, better aligned with EU priorities.

Building on the legacy of NextGenerationEU is not only about fiscal solidarity, it is also about carrying forward a common European project. Strong emphasis was put on the green transition and digital transformation, as well as support for

future generations and social cohesion. To carry forward this legacy in line with the New EU Priorities, we propose to raise revenues from a reform of aviation taxes, an augmented European VAT on luxury, a one-off levy on millionaire wealth, a tax on digital services, on tax on digital advertisements and a tax on financial transactions. Our estimations show that these measures would raise 103bn EUR per year. Each proposal will be summed up below and detailed in following annexes.

# 103bn

in new revenues

# One

Deal

The new own resources we propose are based on Article 311 TFEU. Their adoption requires unanimity, both at Council level and through ratification by every Member State. We present six ideas to help build consensus. They do not constitute a single package, but aim to help identify the right combination of instruments and prepare a deal acceptable to all Member States. With this in mind, both the rates and scope of the selected instruments could vary. Alternative options are also presented for several of the proposed resources.

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We propose to earmark 60% of the wealth tax revenue to a European sovereign fund, at a time when major investments are needed for the ecological transition and for competitiveness. Sized at 3% of EU GDP, the fund would make sure that wealth taxation does not divert resources away from productive investments. While holding a diversified portfolio of equities, the fund would prioritize primary investments in European companies with a strategic or sustainable dimension.

**30 bn**  
for future-preparedness

We also propose to earmark one third of the luxury tax revenue to international public goods. Member States would allocate part of their revenue share to their preferred causes, such as pandemic preparedness, funds rewarding jurisdictions that invest in renewable energy, grid extensions, or reforestation. Member States (or even private donors) would be incentivized to contribute additional funds by a mechanism where doing so would grant them with the right to allocate part of other contributors' contributions.

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**48%**

Updated GNI share

Discussions on the composition of the package must treat the GNI contribution as one component among other revenue proposals in determining the collectively agreed mix. Of the 103bn EUR collected, we propose to allocate 24 bn to NGEU interest repayment, 14 bn to expand the EU budget, 30 bn to finance new funds and 35bn to reduce GNI contributions. The updated GNI contributions would be 100bn EUR, accounting for 48% of the EU budget. The package encourages economic activity with greater social efficiency through measures that correct market inefficiencies and externalities. Furthermore, national expenditures will be reduced, benefiting both from cuts in GNI contribution and expansion of the EU budget, while costs will be primarily borne by the wealthiest. Even taking into account the foregone revenue from existing domestic taxes, this makes every country gain 0.5 to 0.7% of GNI in fiscal space. The table below documents these gains.

# A Tax on Luxury

## 20%

Extra rate on luxury goods

Economic analysis shows that luxury goods should be taxed at 42%, that is, a rate 20 percentage points above the current VAT rate. This VAT would apply uniformly to yachts, private jets, luxury cars, artwork, jewelry, luxury watches, bags and apparel, cruises, luxury hotels, fine wines and spirits, fine dining. Simultaneously, non-EU visitors will lose

the VAT refund for their purchases of luxury goods in the EU. This tax would require unanimity at the EU Council, but is straightforward to implement since the administration already collects the VAT and categorizes goods.

The tax would raise €40 bn per year, and could even be doubled or tripled since the 20% extra tax is computed using very conservative assumptions. The most affected sectors would be the German car industry, the French and Italian luxury sector, and the

Mediterranean luxury tourism. Eastern Europe, Northern Europe, Germany and the Netherlands would contribute less than their GNI share to this extra tax, while a substantial share of the tax burden would fall on non-EU visitors. Countries that contribute a larger-than-average GNI share would benefit from increased revenue of domestic VAT thanks to the coordinated abolition of the VAT refund for non-EU visitors. Luxury goods are partly purchased to signal one's wealth, a motive that would play out with lower resource use if they are priced more. Plus, they confer status, which entails a negative externality onto others. While inequality should in principle be addressed via income taxes, tax competition among EU countries results in insufficient top tax rates. An EU-level tax on luxury goods is a second-best substitute for harder-to-harmonise EU income taxes. Taxing luxury also has the desirable property that it does not reduce philanthropy or investment.

## 40 bn

Per year

# A Moderate Wealth Tax

## 0.5%

above €100 million

A moderate tax on the wealth of millionaires would address rising inequality with negligible effects on aggregate demand. In the central scenario, the proposed rate goes from 0.1% for wealth above 1 million euros to 0.5% for wealth in excess of 100 million euros. We

also present another scenario where the tax starts at 100 million euros. We design it as a *one-off* levy, payable over thirty years, thus avoiding pitfalls that have historically undermined recurrent wealth taxes. Indeed, the tax would be owed based on wealth assessed on 1 January 2028, so it would not deter future investment.

The tax schedule of our central scenario would raise €26 bn per year. While a wealth tax would require unanimity at the EU Council, it is supported by over 80% of Europeans.

**26 bn**  
Per year

The tax adapts the innovative design of the Californian proposal. It can be paid in kind to prevent any liquidity issue, and a system of deferral accounts ensures that it is recovered even in case of expatriation or death. Finally, the low rates make it moderate and constitutional in every Member State.

## Aviation Tax Reforms

**2.5 bn**

Tax on seat vacancy

In Europe, 20% of flight seats depart empty. We propose a tax on vacant seats at a rate of 82.6%, combined with an additive VAT on airline tickets of 3.7% for intra-EU flights. By taxing the spoilage value of vacant seats, this design aims to reduce

seat vacancy to its optimal level while preserving passenger flows, thereby benefiting every country, even touristic ones. Analysis shows that it leads airlines to reduce flight frequency by 18%. The tax not only raises €2.5 bn in additional revenue, it also makes the sector more efficient, generates €5.4 bn in economic surplus for the EU, removes 8 MtCO<sub>2</sub> of emissions, and reduces the EU oil bill. By targeting only intra-EU flights, the design aims to overcome the obstacles that led to the failure of the Commission's 2012 proposal due to foreign retaliation.

The aviation sector benefits from VAT exemptions that have no economic justification. This leads to a misallocation of resources unduly benefiting the sector, even absent any climate or inequality considerations. We propose to set the EU-wide VAT on intra-EU flights above the passenger-

preserving rate, at the level that corrects the distortion, that is at 20% (on top of domestic VAT). Our proposal would generate €8 billion per year. These aviation reforms are just a first step toward a more comprehensive package, ideally agreed internationally, that would tax business class tickets, fully price aviation's climate externalities (including contrails non-CO<sub>2</sub> effects), extend to extra-EU flights, and partly finance global public goods.

**8 bn**  
from augmented VAT

# Taxing Digital Services

## 6 bn

From Digital Services Tax

Big digital companies escape Corporate Income Taxes. International cooperation has so far failed to produce a collective response. Taxing 3% of revenues from the digital sector serves as a temporary measure to capture the untaxed part of profits. Repealed once an international agreement is reached, the instrument signals the EU's position and pushes international partners to return to the negotiating table. France, Italy and Spain have already implemented such a tax, and more Member States plan to legislate on the issue, making the instrument technically prepared and politically ripe.

Online advertising exploits users' cognitive biases in the pursuit of effectiveness, causing documented harms, particularly among young people, from mental health problems to misinformation and radicalisation. Economists, including Nobel laureates Daron Acemoglu and Simon Johnson, propose implementing a 50% excise tax to force a paradigm shift. An initial rate of 15% sends a strong signal, preparing industry players for a gradual increase.

## 15%

On digital ads

# A Financial Transactions Tax (FTT)

## 0.5%

Rate on equity transfers

The transfer of ownership of shares issued by companies incorporated in the EU would be taxed at 0.5% to fund EU own resources. The scope is deliberately narrow (covering only net transactions and exempting bonds, foreign exchanges and derivatives) to start with the easily implementable instrument. This leaves to later extensions the broader scope that triggered objections by Member States in a previous attempt. The tax and its rate mimic the UK stamp duty, which has collected steady revenue for over 300 years. It would collect €8 bn per year at the EU level at a low rate on a large and concentrated tax base.

France, Italy, Spain, Belgium and Ireland already have similar instruments in place. They could offset the loss of their FTT revenue to the EU budget by either expanding the scope of their national tax or increasing the rate. Two countries stand out as main collectors of the FTT due to hosting companies with the highest market capitalisation: France and the Netherlands. While this tax requires unanimity at the EU Council and is highly popular. Indeed, the burden of the tax would fall on stock owners, predominantly wealthy and located worldwide. Given the exemption of intraday and derivative trading, it should be understood as a revenue-generating tax rather than an externality corrective. The tax would reduce trading volume only moderately (by 10–20%). Empirical evidence shows no significant effects on market liquidity or volatility, nor on the cost of capital or the competitiveness

## 8 bn

Per year



Table 1: Member State's contribution from the proposed new own resources in EUR millions.

| Country               | A 3% DST     | 15% Ad tax   | 0.5% FTT     | Wealth tax    | Aviation carbon tax | Luxury VAT    |
|-----------------------|--------------|--------------|--------------|---------------|---------------------|---------------|
| Austria               | 143          | 330          | 26           | 920           | 254                 | 1,390         |
| Belgium               | 201          | 184          | 61           | 722           | 257                 | 1,376         |
| Bulgaria              | 38           | 18           | .2           | 40            | 63                  | 225           |
| Croatia               | 46           | 26           | .3           | 36            | 89                  | 323           |
| Cyprus                | 16           | 17           | .8           | 46            | 68                  | 211           |
| Czechia               | 178          | 263          | 3.8          | 348           | 103                 | 646           |
| Denmark               | 108          | 258          | 114          | 533           | 264                 | 590           |
| Estonia               | 23           | 21           | .1           | 29            | 21                  | 70            |
| Finland               | 97           | 133          | 81           | 152           | 168                 | 407           |
| France                | 1,084        | 1,691        | 3,100        | 6,670         | 1,255               | 8,706         |
| Germany               | 978          | 2,700        | 1,595        | 8,344         | 1,409               | 8,102         |
| Greece                | 91           | 54           | 23           | 118           | 593                 | 885           |
| Hungary               | 140          | 113          | 5.9          | 208           | 86                  | 351           |
| Ireland               | 97           | 160          | 241          | 331           | 219                 | 534           |
| Italy                 | 467          | 891          | 544          | 2,618         | 1,659               | 7,934         |
| Latvia                | 27           | 20           | 0            | 20            | 42                  | 70            |
| Lithuania             | 41           | 24           | .1           | 31            | 33                  | 112           |
| Luxembourg            | 10           | 32           | 0            | 208           | 49                  | 253           |
| Malta                 | 7            | 10           | 0            | 9             | 63                  | 126           |
| Netherlands           | 333          | 652          | 1,961        | 913           | 462                 | 1,545         |
| Poland                | 497          | 427          | 63           | 560           | 278                 | 1,123         |
| Portugal              | 137          | 84           | 25           | 330           | 455                 | 899           |
| Romania               | 135          | 30           | 1.9          | 121           | 145                 | 449           |
| Slovakia              | 76           | 37           | 0            | 19            | 12                  | 183           |
| Slovenia              | 33           | 14           | .4           | 75            | 7                   | 154           |
| Spain                 | 687          | 830          | 241          | 2,151         | 2,177               | 4,339         |
| Sweden                | 190          | 601          | 245          | 712           | 271                 | 997           |
| <b>European Union</b> | <b>5,880</b> | <b>9,616</b> | <b>8,335</b> | <b>26,264</b> | <b>10,500</b>       | <b>42,000</b> |

Table 2: Member State's contribution from the proposed new own resources in % of their GNI.

| Country               | A 3% DST   | 15% Ad tax  | 0.5% FTT    | Wealth tax | Aviation carbon tax | Luxury VAT  |
|-----------------------|------------|-------------|-------------|------------|---------------------|-------------|
| Austria               | .035       | .081        | .006        | .226       | .062                | .341        |
| Belgium               | .04        | .036        | .012        | .142       | .051                | .271        |
| Bulgaria              | .073       | .034        |             | .076       | .12                 | .429        |
| Croatia               | .079       | .044        | .001        | .062       | .152                | .552        |
| Cyprus                | .073       | .077        | .004        | .209       | .308                | .958        |
| Czechia               | .078       | .116        | .002        | .153       | .045                | .284        |
| Denmark               | .031       | .074        | .033        | .153       | .076                | .169        |
| Estonia               | .074       | .068        |             | .094       | .068                | .227        |
| Finland               | .038       | .052        | .032        | .06        | .066                | .159        |
| France                | .042       | .066        | .12         | .259       | .049                | .338        |
| Germany               | .026       | .072        | .043        | .224       | .038                | .217        |
| Greece                | .05        | .03         | .013        | .065       | .328                | .489        |
| Hungary               | .094       | .076        | .004        | .14        | .058                | .236        |
| Ireland               | .03        | .049        | .075        | .102       | .068                | .165        |
| Italy                 | .026       | .049        | .03         | .144       | .091                | .437        |
| Latvia                | .082       | .06         |             | .06        | .127                | .212        |
| Lithuania             | .076       | .044        |             | .057       | .06                 | .208        |
| Luxembourg            | .02        | .063        |             | .412       | .097                | .501        |
| Malta                 | .051       | .073        |             | .066       | .459                | .922        |
| Netherlands           | .04        | .078        | .234        | .109       | .055                | .185        |
| Poland                | .091       | .078        | .011        | .102       | .051                | .205        |
| Portugal              | .065       | .04         | .012        | .156       | .215                | .424        |
| Romania               | .063       | .014        | .001        | .056       | .067                | .209        |
| Slovakia              | .078       | .038        |             | .02        | .012                | .188        |
| Slovenia              | .064       | .027        | .001        | .146       | .014                | .3          |
| Spain                 | .057       | .068        | .02         | .177       | .179                | .358        |
| Sweden                | .034       | .109        | .044        | .129       | .049                | .18         |
| <b>European Union</b> | <b>.04</b> | <b>.066</b> | <b>.057</b> | <b>.18</b> | <b>.072</b>         | <b>.288</b> |

Table 3: Decomposition of the own-resources deal by member state (in EUR millions).

| Country               | New revenues   | New funds     | EU budget     | Foregone domestic rev. | State budget gain | Overall gain  |
|-----------------------|----------------|---------------|---------------|------------------------|-------------------|---------------|
| Austria               | 3,064          | 1,015         | 2,049         | 101                    | 1,548             | 2,774         |
| Belgium               | 2,801          | 892           | 1,909         | 61                     | 1,988             | 3,511         |
| Bulgaria              | 384            | 99            | 285           | 0                      | 212               | 369           |
| Croatia               | 520            | 129           | 391           | 0                      | 236               | 412           |
| Cyprus                | 358            | 98            | 260           | 0                      | 89                | 155           |
| Czechia               | 1,541          | 424           | 1,117         | 0                      | 920               | 1,604         |
| Denmark               | 1,866          | 516           | 1,350         | 0                      | 1,408             | 2,455         |
| Estonia               | 164            | 41            | 124           | 0                      | 125               | 218           |
| Finland               | 1,039          | 227           | 812           | 0                      | 1,032             | 1,800         |
| France                | 22,506         | 6,904         | 15,602        | 4,184                  | 6,221             | 13,959        |
| Germany               | 23,129         | 7,707         | 15,422        | 0                      | 15,072            | 26,281        |
| Greece                | 1,763          | 366           | 1,397         | 23                     | 708               | 1,252         |
| Hungary               | 904            | 242           | 662           | 0                      | 602               | 1,049         |
| Ireland               | 1,582          | 376           | 1,206         | 241                    | 1,066             | 2,038         |
| Italy                 | 14,113         | 4,215         | 9,898         | 1,012                  | 6,319             | 11,771        |
| Latvia                | 179            | 35            | 144           | 0                      | 134               | 233           |
| Lithuania             | 241            | 56            | 185           | 0                      | 218               | 381           |
| Luxembourg            | 552            | 209           | 343           | 0                      | 204               | 356           |
| Malta                 | 215            | 48            | 168           | 0                      | 55                | 97            |
| Netherlands           | 5,866          | 1,063         | 4,803         | 0                      | 3,383             | 5,899         |
| Poland                | 2,948          | 710           | 2,238         | 0                      | 2,214             | 3,861         |
| Portugal              | 1,930          | 498           | 1,432         | 0                      | 856               | 1,493         |
| Romania               | 882            | 222           | 660           | 0                      | 870               | 1,517         |
| Slovakia              | 326            | 72            | 254           | 0                      | 393               | 686           |
| Slovenia              | 284            | 96            | 187           | 0                      | 208               | 363           |
| Spain                 | 10,425         | 2,737         | 7,688         | 928                    | 3,975             | 7,621         |
| Sweden                | 3,016          | 760           | 2,256         | 0                      | 2,234             | 3,895         |
| <b>European Union</b> | <b>102,595</b> | <b>29,758</b> | <b>72,837</b> | <b>6,550</b>           | <b>52,291</b>     | <b>96,049</b> |

*Column definitions:*

- (1) New revenues generated by our proposals.
- (2) New revenues funding the UE budget.
- (3) Revenues funding new EU funds financed with 60% of the wealth tax and a third of luxury tax revenues.
- (4) Foregone revenues from existing domestic taxes (DSTs and FTTs).
- (5) State budget gain from the deal: reduced GNI contribution relative to the status quo, net of foregone revenues from national DSTs and FTTs. GNI contributions are 100bn in our proposal, down from 149 bn in the status quo (incl. an extra 24 bn compared to current contributions to repay the NGEU debt).
- (6) State + EU budget from the deal: State budget gain in previous column, plus increased funding of EU budget and new funds allocated to each Member State according to their GNI share.

Table 4: Decomposition of the own-resources deal by member state (in % of GNI).

| Country               | New revenues |             |           | Foregone domestic rev. | State budget gain | Overall gain |
|-----------------------|--------------|-------------|-----------|------------------------|-------------------|--------------|
|                       | Total        | New funds   | EU budget |                        |                   |              |
| Austria               | .751         | .249        | .502      | .025                   | .379              | .68          |
| Belgium               | .552         | .176        | .377      | .012                   | .392              | .693         |
| Bulgaria              | .733         | .189        | .544      |                        | .404              | .705         |
| Croatia               | .889         | .221        | .668      |                        | .404              | .705         |
| Cyprus                | 1.63         | .445        | 1.18      |                        | .404              | .705         |
| Czechia               | .677         | .186        | .491      |                        | .404              | .705         |
| Denmark               | .536         | .148        | .387      |                        | .404              | .705         |
| Estonia               | .532         | .132        | .4        |                        | .404              | .705         |
| Finland               | .407         | .089        | .318      |                        | .404              | .705         |
| France                | .874         | .268        | .606      | .163                   | .242              | .542         |
| Germany               | .62          | .207        | .414      |                        | .404              | .705         |
| Greece                | .975         | .202        | .773      | .013                   | .392              | .692         |
| Hungary               | .607         | .162        | .445      |                        | .404              | .705         |
| Ireland               | .489         | .116        | .373      | .075                   | .33               | .63          |
| Italy                 | .778         | .232        | .546      | .056                   | .348              | .649         |
| Latvia                | .542         | .107        | .435      |                        | .404              | .705         |
| Lithuania             | .446         | .104        | .343      |                        | .404              | .705         |
| Luxembourg            | 1.09         | .414        | .679      |                        | .404              | .705         |
| Malta                 | 1.57         | .347        | 1.22      |                        | .404              | .705         |
| Netherlands           | .701         | .127        | .574      |                        | .404              | .705         |
| Poland                | .538         | .13         | .408      |                        | .404              | .705         |
| Portugal              | .911         | .235        | .676      |                        | .404              | .705         |
| Romania               | .41          | .103        | .306      |                        | .404              | .705         |
| Slovakia              | .335         | .074        | .261      |                        | .404              | .705         |
| Slovenia              | .552         | .187        | .364      |                        | .404              | .705         |
| Spain                 | .859         | .226        | .634      | .076                   | .328              | .628         |
| Sweden                | .546         | .137        | .408      |                        | .404              | .705         |
| <b>European Union</b> | <b>.705</b>  | <b>.204</b> | <b>.5</b> | <b>.045</b>            | <b>.359</b>       | <b>.66</b>   |

*Column definitions:*

(1) New revenues generated by our proposals.

(2) New revenues funding the UE budget.

(3) Revenues funding new EU funds, financed with 60% of the wealth tax and a third of luxury tax revenues.

(4) Foregone revenues from existing domestic taxes (DSTs and FTTs).

(5) State budget gain from the deal: reduced GNI contribution relative to the status quo, net of foregone revenues from national DSTs and FTTs. GNI contributions are 0.71% of GNI in our proposal, down from 1.09% in the status quo (incl. an extra 0.16% compared to current contributions to repay the NGEU debt).

(6) State + EU budget from the deal: State budget gain in previous column, plus increased funding of EU budget and new funds allocated to each Member State according to their GNI share. Just as in (5), lower gains for a Member State stem from foregone revenues from national DSTs or FTTs. Welfare costs of the new taxes vary across countries but are mostly borne by the wealthiest.

